Learning Activity W1 Report:

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BMGT 380: Business Law I

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Introduction Sentence(s):

Viral Clean (Clean) is engaged in business in all Mid-Atlantic states and sells a Shine-It product in which the Delaware legislature wants to ban the product due to one of the ingredients in Shine-It caused a rapid-growing mold to spread on surfaces which poses a health hazard and can cause damage to surface. The outcome whether Delaware has the right to ban the product and whether Clean should challenge the law as unconstitutional are below.

1.) The issue is whether the Delaware restriction on the sale of Shine-It violates the Interstate Commerce Clause. The Delaware legislation to ban all sales and importation of Clean's Shine-It surface cleaner in Delaware, does not violate the interstate commerce clause even though Clean wants to continue to sell the product in Delaware and other states. The Commerce clause is in the interest and welfare of its citizens and regulate interstate economic activity. In Article I, Section 8 of the United States Constitution, the Commerce Clause states: "To regulate Commerce with foreign Nations, and among the several States, and with the Indian Tribes" (Mayer et al., 2012, clause 3). This clause establishes that Congress has the exclusive authority to enact laws related to foreign trade, commerce, and interstate trade across different states. It serves as the basis of the federal government's regulations of interstate economic activity. Congress has the power to legislate under the commerce clause and does the legislation, which is dormant commerce clause. The commerce clauses serve as both a limitation on state regulatory powers and an affirmative grant of congressional authority. It regulates commerce among states and prevents states from retreating into economic isolation for a common market. Since it is the basis of the federal government, it has the authority to regulate enterprises with other states if the legislation is discriminative and significant to the nation. This means that Delaware has the right to ban Clean's Shine It

product wants to protect the safety and welfare of its citizens from the possible risks the surface cleaner may cause to the citizens. Since the state is involved in the ban, the interstate commerce clause is unaffected by it due to it does not infringe on other interstate trade provisions except Delaware. The state has the right to ban the product due to the health risk it may cause from the mold (health hazard). Clean may not be as successful challenging this law due to the constitution of the clause and that it does not affect the trade barriers of other states than Delaware (National Archives, 1791). Clean can sell the products in the other states, but not in Delaware as it poses a health hazard. Therefore, this does not destroy Clean's business, but Delaware can enact a ban to protect the welfare and safety of its citizens about the harmful product that poses as a health hazard and damages surfaces.

2.) The issue is whether police powers from the Tenth Amendment of the U.S. Constitution applies to the Delaware law that banned the disinfectant. The police powers from the Tenth Amendment of the U.S. Constitution applies to the Delaware law that banned the disinfectant and has the right to ban Clean's product in order to protect the welfare and safety of its citizens even though Clean wants to continue to sell the product in Delaware and other states. The Tenth Amendment states: "The powers not delegated to the United States by the Constitution, nor prohibited by it to the States, are reserved to the States respectively, or to the people" (U.S. Const. amend. X). This amendment emphasis that states hold the general police power and while the federal government's authority is limited on some cases, states have authority when it comes to public life and its citizens of the state. Moreover, Police powers reserve to the states the rights and powers, including the welfare, safety, health and even morals of the public (U.S. Legal, 2024). This means states have the right to enact, regulate, and limit laws within their state based on the interest of its citizens, morals, welfare, and

safety. To be considered on the endangering the welfare and safety of its citizens, Clean's Shine-It product was evaluated and one of the ingredients in the product causes a mold poses a health hazard as it is toxic to humans. The results of the rapid-growing mold are toxic to humans, and it is also hazardous to the surfaces as well. Even though the U.S. Congress attempted to ban a similar disinfectant had failed, this result does not preempt state regulations, nor does it indicate any federal preemption. Police powers based on the 10th amendment allow the state to enact laws to protect the welfare and safety of its citizens for Delaware. Clean may not be as successful challenging it in court due to the police powers and the tenth amendment that proves that the product endangers the citizens from a health hazard (U.S. Legal, 2024). Therefore, police powers and the tenth amendment are applied to this scenario as the state has the authority to enact a banning of Clean's Shine-It product in order to protect the welfare and safety of its citizens due to the health hazard it pose and surface damages.

3.) It is essential for business to understand the significance of the federal Interstate Commerce Clause and the state police powers to promote power balance and regulate fair trading while protecting business from harm. Without understanding the importance of these laws, businesses may be unable to remain stable, and protect themselves from unfair competition and trade laws. The Commerce Clause implies that the Congress has the authority to enact laws related to foreign trade, commerce, and interstate trade across different states (Mayer et al., 2012, Article I, Section 8, Clause 3). The commerce clauses serve as both a limitation on state regulatory powers and an affirmative grant of congressional authority. It is crucial to understand this as it grants Congress the authority to regulate commerce of interstate trading among other states. By adhering to the clause, it ensures fair competition,

efficient trade routes, protection, and stability for many businesses. In addition, the clause blends well with a state police power which allows the state to take action if it endangers the welfare and safety of its citizens that may relate to border trading of other states and prohibit ones that does not ensure the best interests of its citizens (U.S. Legal, 2024). Moreover, these laws ensure business is well protected and avoid negative regulations against the company. Both of these laws help set a balance with federal and state authority to regulate, enact, or limit interstate commerce trade routes as well as intrastate activities. Therefore, it is essential to understand the federal Interstate Commerce Clause and the state police powers to promote balance, to ensure successful businesses, and to protect their intreats of fair trade.

Conclusion Sentence(s):

In conclusion, based on the following answers related to both the federal Interstate Commerce Clause and the state police powers, Clean may not be as successful winning the case, if Clean chooses to challenge Delaware's banning to the Shine-It product as unconstitutional. Clean should understand that since the product poses as a health hazard for the citizens of Delaware, the company must adjust to the new standards set by Delaware or choose a different state to sell the product.

References

Mayer, D., Warner, D., Siedel, G., & Lieberman, J. K. (2012). *Government Regulation and the Legal Environment of Business*. Saylor Foundation.

National Archives. (1791). *Bill of Rights*. National Archives.

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U.S. Legal. (2024). *Police Powers*. U.S. Legal - Police Powers.

U.S. Const. art. I, § 8, cl. 3 (West, Westlaw through Pub. L. No. 118-62.)

U.S. Const. amend. X (West, Westlaw through Pub. L. No. 118-62.)